

DEEPAK G PAWAR

EARLY DAYS

Sachin Bansal and Binny Bansal, the founders of Flipkart in Bengaluru, Sept. 2010



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E-commerce Boom

Open your eyes to India's amazing alternate world of e-shopping. A mindboggling maze that is creating the impression of overshadowing the real world of brick-and-mortar retailing, where the click of a mouse or the touch of a finger can transport you to a consumerist heaven filled with variety, convenience, discounts and desire—from your bedroom, work station, car seat or railway station. The economy may have slowed down in the real world, inflation peaked and salaries remained stagnant, but that has barely made a dent in the digital marketplace.

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ceuticals, FMCG—continued to perform, industries dependent on government clearances struggled. Policy paralysis gave way to what business leaders increasingly saw as policy overreach: retrospective taxation, arbitrary regulation and prolonged delays in approvals.

Fresh investment commitments collapsed by nearly 70 per cent between 2010 and 2011. For the first time in decades, capital outflows exceeded inflows. The irony was sharp: PM Manmohan Singh, who had dismantled the licence raj in 1991, was now presiding over an economy accused of resurrecting its instincts. By 2012-13, the economy was caught in a vicious cycle. High inflation constrained monetary policy, slowing growth reduced revenues, and political uncertainty paralysed reform.

The crisis reached its most visible moment in mid-2013, when the rupee plunged to nearly Rs 68 to the dollar amid global risk aversion and domestic weakness. The fall symbolised a broader loss of confidence in macroeconomic management.

The appointment of Raghuram Rajan as RBI governor in September 2013 marked a turning point. He moved swiftly, raising interest rates, opening special forex swap windows and curbing gold imports, to stabilise the currency and anchor expectations. By early 2014, there were signs of stabilisation. Inflation was easing, the current account deficit (CAD) had narrowed, and financial markets had calmed. At the same time, a new economic narrative was emerging. India's startup ecosystem was beginning to take shape. Flipkart's billion-dollar fundraise and acquisition of Myntra, alongside investments in Snapdeal, Ola and Amazon's aggressive expansion, hinted at a consumption- and technology-driven future.

Yet these green shoots came too late to rescue the political credibility of the UPA government that had overseen the cycle. Growth had slowed, confidence had drained away, and the electorate delivered its verdict in 2014. ■